

DREAM CATCHERS

Future Growth Drivers...

...And Immediate Challenges

Increasing demand for high-quality domestic film and OTT content, rising VFX budgets

Increased offshoring of movie and OTT projects to India, growth in NFT, metaverse and gaming

The VFX segment is expected to reach ₹18,000 crore by 2024

SOURCE FICCI-EY M&E REPORT, INDUSTRY

Creating world class physical and technical infrastructure, for example, studios, training facilities, etc.

Enabling FDI, international partnerships and adequate policy support

Retaining competitive cost advantage over other global VFX hubs

SOURCE BCG-CII REPORT, INDUSTRY



dios in India have been providing a lot of outsourced VFX to international studios, which are largely more technical than creative tasks. Studios like Phantom are pushing the envelope by working with international partners and projects to do work that requires a higher level of skills.”

Jadhav has a point. Earlier, a substantial part of VFX-related work being done here was labour-intensive like Roto and Paint. But the share of other aspects of the creative process such as computer-generated imagery (CGI) has also risen gradually. At the same time, the introduction of new technologies like virtual production and real-time compositing have caused a disruption. These technologies do away with the famed green screen by providing ready-made backgrounds for cinematic sequences. Over time, as more Indian studios adopt these solutions, they will handle more complex assignments for overseas clients. “The ability to knit the screens with the camera using software like Unreal Engine, mimick-

ing real life and virtual locations live, with live changes and alterations, reduces the time between thought and execution. Although used in minimal amounts currently due to the evolving technology, it is surely going to grow and enable film-makers more than ever,” predicts Yadav.

With the share of VFX in big-budget movies—with a \$100-million production budget—set to rise to 30-35 per cent from 25-30 per cent currently, a big opportunity is there for the taking for the Indian VFX and animation industry. Following a challenging time during the pandemic, the Indian VFX industry has recovered 35-50 per cent of its business.

The other boost to the sector will come from the domestic film industry, where south Indian blockbusters like the *Baahubali* saga, *KGF* and *Pushpa* have transcended linguistic barriers and proved that Indian audiences wish to see more of high-end VFX. As DNEG’s Tavaría points out, VFX has been around for years, but the scale is getting bigger and better

now: “As a service provider, even we are better placed now with the experience that is available at our fingertips, with the same level of technology available to film-makers, which was missing earlier.”

There are other factors at play, too. “Leading actors are keen to sign up for larger-than-life films. This is especially evident in southern cinema, where such grandeur is achieved using VFX,” says Sunny Bakshi, CEO of Silver Cloud Studios. “Also, due to the rising expectations of both actors and the audience from a movie’s production value and the potential of high box office collections due to Indian films getting released worldwide, the role of VFX is getting bigger.”

While that sounds cool, challenges are not too far away.

BATTLING MULTIPLE FRONTS

Currently, the Indian post-production, VFX and animation industry accounts for less than 10 per cent share of the \$7.51-billion global market and